

LNbits Inc — “TaaS Repo”

(TimeLock as a Service Repurchase Agreement)

A high-margin LNbits Inc product that lets users unlock fiat from bitcoin: without an exchange, without a loan, and with minimal tax.

The screenshot displays the LNbits TaaS Repo interface. At the top, the balance is shown as 94,762 sats, equivalent to \$105.53. The BTC Price is listed as \$111,364.61. Below the balance, there are three buttons: PASTE REQUEST, CREATE INVOICE, and a QR code icon. A yellow hand icon points to the CASH OUT TO FIAT button. Below this, there is a search bar with the placeholder text "Search by tag, memo, amount". A table of transactions follows, with columns for Memo/Date and Amount (sats).

Memo/Date	Amount (sats)
#paywall Streamer Copilot 12 hours ago	2,000 \$2.23
#paywall Streamer Copilot 12 hours ago	2,000 \$2.23
#paywall Coinflip a day ago	5,000 \$5.53
#paywall Boltcard Paid Extension	21

Exchange, Loan, and Repo Comparison

What is a bitcoin Exchange?

- Users **sell** bitcoin for fiat.
- The platform acts as **counterparty** or **intermediary**.
- Requires **custody of assets**, **full AML/KYC**, and registration as a **Cryptoasset Exchange Provider**.

Regulatory cost (UK): FCA cryptoasset registration (~£10k application fee + £100k–£250k annual compliance)

User tax implications: Full disposal event, *Capital Gains Tax up to 40%*

What is a bitcoin Collateralised Loan?

- Users **borrow fiat** by locking up **bitcoin as collateral**.
- Creates **debt** and **repayment obligations**, often with **margin-call risk**.
- Involves **interest**, **credit checks**, and **custodial risk**.
- Falls under **lending and consumer credit regulation**.

Regulatory cost (UK): FCA Consumer Credit Licence (~£30k–£70k application + £100k–£200k annual compliance)

User tax implications: No disposal event (bitcoin not sold), *Capital Gains Tax only on interest payments.*

What is a bitcoin Repurchase Agreement (Repo)? 🙌

- A **temporary exchange of value** secured by an underlying asset.
- The provider offers **liquidity** against that asset with a **pre-agreed return**.
- **No loan, no interest, no debt enforcement.**
- The asset remains **under the user's control** throughout the term.

“A short-term, collateral-backed liquidity arrangement.”

Regulatory cost (UK): Light-touch **VASP registration** (~£2k–£10k); *no FCA credit licence required.*

User tax implications: No disposal event (bitcoin not sold), Capital Gains Tax only on any fee charged by the service provider.

What would a Repo service look like in LNbits?

- Users **self-initiate a timelock** — LNbits UX makes it one click.
- **Fiat payout via licensed EMI partner** (minimal AML/KYC handled externally)
 - **LNbits need not receive user KYC data** (handled by EMI partner).
- **LNbits orchestrates** the contract, **never holds user keys**.
- LNbits earns a **fixed service fee** on redemption, not exchange spread or interest.
- Timelocked bitcoin acts as **collateral**, not a sale.
- Minimum timelock: **3 months**, ensuring no taxable disposal.

Compliance optics (soft limits):

- EMI daily payout limit: £500—£1,000 per user.
- LNbits should flag rapid repeat usage (anti-layering).
- Optional soft limit: 5 repos/month per user.

Comparison Overview

Model	Custody of Assets	Creates Debt	Triggers Tax Disposal	Regulatory Burden	Typical Cost (UK)
Exchange	✓ Yes (bitcoin & fiat)	✗ No	✓ Yes, full disposal	FCA Exchange Registration	~£100k–£250k / yr
bitcoin Collateralised Loan	✓ Yes (bitcoin collateral)	✓ Yes	✗ No	FCA Consumer Credit Licence	~£100k–£200k / yr
TaaS Repo (LNbits)	✗ No, user self-custody	✗ No	✗ No disposal	Light-touch VASP registration	~£2k–£10k / yr

Return Examples

1–3 Month Repo (Timelock Service Cost 10%)

Stage	Amount	Notes
Advance (fiat sent to user)	\$500	Principal
bitcoin value locked	\$1,000	2× collateral
Redemption received by LNbits Inc	\$550	\$500 + 10%
Exchange fees	−0.5 % (−\$2.75)	Liquidity/FX spread
Net before tax	\$547.25	
Corp tax (≈ 20 %)	−\$10.55	
Net retained profit	≈ \$37.70	~7.5 % effective yield

6 Month Repo (Timelock Service Cost 20%)

Stage	Amount	Notes
Advance (fiat sent to user)	\$500	Principal
bitcoin value locked	\$1,000	2× collateral
Redemption received by LNbits Inc	\$600	\$500 + 20%
Exchange fees	−0.5 % (−\$3.00)	Liquidity/FX spread
Net before tax	\$597.00	
Corp tax (≈ 20 %)	−\$11.94	
Net retained profit	≈ \$85.00	~17 % effective yield

12 Month Repo (Timelock Service Cost 30%)

Stage	Amount	Notes
Advance (fiat sent to user)	\$500	Principal
bitcoin value locked	\$1,000	2× collateral
Redemption received by LNbits Inc	\$650	\$500 + 30%
Exchange fees	-0.5 % (-\$3.25)	Liquidity/FX spread
Net before tax	\$646.75	
Corp tax (≈ 20 %)	-\$12.94	
Net retained profit	≈ \$134.00	~26.8 % effective yield

Regulatory Position

LNbits Inc can facilitate repos without being a “money exchange” if:

- Users **self-custody** bitcoin (LNbits never holds private keys).
- Fiat payouts handled by **regulated EMI partner**.
- LNbits acts only as **technical facilitator**, not counterparty.
- LNbits earns a **service fee**, not exchange spread or interest.
- All contracts are **transparent and on-chain**.
- AML monitoring & KYT checks applied per repo.

Regulatory Cost

Regulatory cost (UK):

Light-touch **VASP** registration (~£2k–£10k); *no FCA credit licence required.*

Expanding to Europe:

Once registered in the UK, extension to **EU via local VASP licence** (Lithuania or Ireland) costs $\approx$ €5k–€10k and 2–3 months setup.

Why it matters

- LNbits Inc would use this service, and so will bitcoiners who:
 - want cash while **deferring selling bitcoin**.
 - want to **avoid tax** from disposal of the principal.
 - want a **trust-minimised, non-custodial, pseudonymous** fiat bridge.

| *“Unlock fiat liquidity without debt and minimised tax.”*

Financial Model Summary

Scenario (UK Launch Year)

Metric	Value	Notes
Average repo size	£500	Small-user focus
Average term	3 months	4 cycles / year
Net profit per repo	£36	After all costs/tax
Active users (pilot)	400	3–5 % adoption
Total liquidity advanced	£200 000	Per quarter
Net quarterly profit	£14 400	
Annualised profit	≈ £60 000	On £200 000 float

Scale-Up Scenario

Metric	Value	Notes
Float pool	£250 000	modest treasury
Repos per year	4 cycles	quarterly turnover
Average yield	30 % p.a.	after costs/tax
Annual profit	≈ £75 000	scalable, repeatable

Strategic Value

- Generates **recurring, low-risk revenue**.
- Strengthens LNbits' fiat <=> bitcoin bridge.
- Expands reach into ANY user needing instant fiat.
- Creates **regulatory-compliant yield** without custody or credit risk.

TaaS Repo turns time-locked bitcoin into a predictable, compliant income stream, for both users and LNbits Inc.

Steps to Implement into LNbits (*deployable within 4 months*)

1. **Register with VASP** — light-touch registration for compliance. (*started*)
2. **Register with EMI Partner** — handle fiat payouts and user KYC.
3. **Create Swap / Timelock Mechanics** — develop on-chain scripts for secure, non-custodial repos.
4. **Build Out UI** — add a simple LNbits interface for creating and managing repos.
5. **Release in the UK.**
6. **Extend VASP registration to the EU.**

After implementation in LNbits, the same service can be offered through **my.nostr** and as an **external standalone service**.